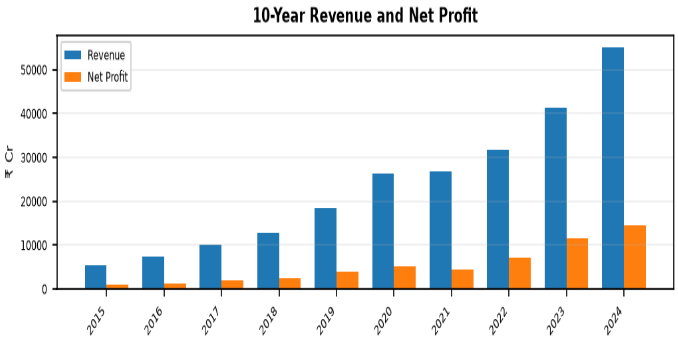
Bajaj Finance Ltd

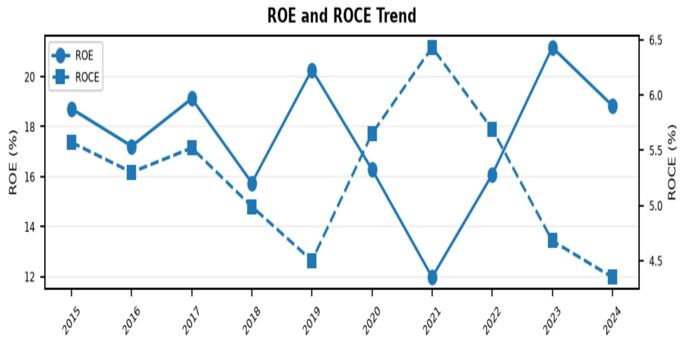
Nifty 100 Company Tearsheet | BAJFINANCE

Financials | Bajaj Finance is mainly engaged in the business of lending. BFL has a diversified lending portfolio across retail, SME and commercial customers with a significant presence in urban and rural India. It also accepts public and corporate deposits and offers variety of financial services products to its customers.

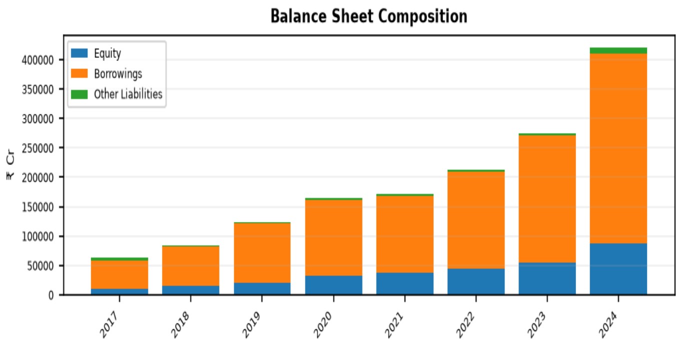
ROE	ROCE	Debt / Equity
18.8%	**4.3%**	**3.82**

Revenue CAGR 5Y	PAT CAGR 5Y	Free Cash Flow
24.4%	**29.3%**	**■-79,931 Cr**

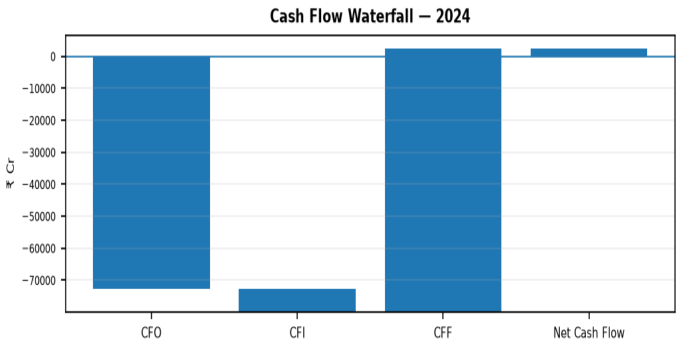




Balance Sheet Composition



Latest-Year Cash Flow



Pros	Cons
• Very high interest coverage ratio reflects negligible financial stress from debt servicing • Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding • Revenue growing at above 15% CAGR over 5 years reflects strong business momentum • Net profit compounding at above 20% over 5 years creates significant shareholder value • Return on equity improving for 3 consecutive years shows strengthening business quality • Operating profit margin above 25% indicates strong pricing power and cost discipline	• Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital • Free cash flow negative for 3 consecutive years raises concern about cash generation quality • Operating margins declining for 3 consecutive years suggest pricing or cost pressure • Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

CAPITAL ALLOCATION: Growth Funded by Debt